

THIRD EYE | SHANKAR AIYAR

Dismantle Oligarchies



You can't miss them. They occupy prime time news space. The datelines range from Osmania University in Hyderabad to Lal Chowk in Srinagar and West Midnapur in West Bengal to Mumbai in Maharashtra. Or Noida near Delhi where burglars drive away with ATMs. Like pock marks they threaten to mar the glow of the India Story. It would be easy to mistake them as stray incidents. They are not. The rise of language chauvinism in Mumbai and the reaction triggered in Patna symbolise the cause and the consequence of a State frequently absent. Worse, of a State unable to translate words into action and outlays into outcome, where development is not the goal but an accidental byproduct. Why is it so tough for a nuclear power to hunt Naxals like Kishenji? Why do the poorest states boast of the worst record in implementing the country's biggest poverty alleviation programme, NREGA? Very simply, for decades the political class has buried the crisis of governance under the rhetoric on non-issues.

Discontent is a natural corollary of democracy and extremism the outcome of denied empowerment. India is often described as a democracy of the poor. It is a truism. What is not so evident is that the poor people elect governments that seem to work only for a curious oligarchy of a myopic elite. Resources become available for the Commonwealth Games but not for Bharat stuck in a rut. That Palakkad became the first district to be fully electrified—after six decades of Independence—is a telling factoid.

The crux of the problem is an embedded and historical bias in favour of the entrenched. This is most visible in the syntax of development discourse. Last year, the total revenue foregone in exemptions to industry was over Rs 4,20,000 crore, or 70 per cent of collectible revenue. But the debate is about subsidies, which incidentally were barely

SAURABH SINGH/www.indiatodayimages.com



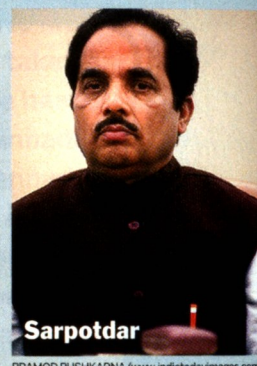
a fourth of exemptions. Witness the rush to decontrol petroleum prices, apparently to save PSUs while there is no attempt to free them from political bondage. Public-private partnerships are manipulated to nationalise costs and privatise profits. Banks are happy to clear inter-city high-value cheques in a day but make small depositors wait a week. There is a plethora of new regulations and regulators, but be it telecom number portability or home loan rates, consumers are not the focus of policy. Food price inflation is a tax on the poor but there is no attempt to fix the problem of a corroded public distribution system.

The inequity in the system is fuelling the implosion and it cannot be redressed by the practice of voodoo economics. Peace is a desirable goal. Peace can be negotiated at home and abroad but sustaining it calls for good governance and the restoration of equity. Not by perpetuating oligarchies.

**THE INEQUITY
IN THE SYSTEM
IS FUELLING THE
IMPLOSION AND
IT CANNOT BE
REDRESSED BY
THE PRACTICE
OF VOODOO
ECONOMICS.**

SIGNPOSTS

DIED: Shiv Sena leader and trade unionist **Madhukar Sarpotdar**. The two-time MP was convicted for making hate speeches during the 1993 Mumbai riots. He was 75.



PRAMOD PUSHKARNA/www.indiatodayimages.com

DIED: Former Rajasthan finance minister **Chandan Mal Baid**, 88. He was a member of every Congress-led government in the state after 1953, barring the current one.

DECLARED: Parambikulam National Park at Anappadi in Kerala's Palakkad district as a tiger reserve. This is the 38th tiger reserve in the country and Kerala's second.

DIED: Actor **Nirmal Pandey**, 48, who acted in films like *Iss Raat Ki Subah Nahin*, *Bandit Queen* and *Godmother*. He had debuted in 1996 as a transvestite in Amol Palekar's *Daayraa*.

